CASCADIA ANALYTICS

Marvell Technology, Inc.

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Custom Silicon Inflection and Optical Dominance Overwhelm Near-Term Dilution

Analyst: Justin Wen | October 29, 2026

Market apprehension regarding gross margin mix dilution and recent balance sheet adjustments obscures a structural inflection in hyperscale compute architecture. Marvell Technology, Inc. is capturing premier positioning across high-volume custom AI XPUs and optical digital signal processors, supported by a rapid acceleration in Data Center revenue from 76% of total sales in Q1 FY2027 to 79% in Q2 FY2027. Multi-year visibility across custom engagements and market-leading 800G and 1.6T optical interconnects provides durable operational leverage that drives long-term cash generation. We reiterate our Buy rating with a probability-weighted blended target price of $388.60, representing +77.0% upside from the reference spot price of $219.60.

BUY	$388.60	+77.0%	$219.60
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While prevailing consensus remains excessively fixated on quarterly gross margin normalization toward 58.0% and non-cash acquisition charges, our framework isolates the accelerating cash-flow power unlocked by unprecedented custom compute volume. The operational reality reflects a multi-year scaling runway across critical hyperscale fabrics that consensus multiples fail to price correctly.

Executive summary

Marvell Technology, Inc. operates as a leading fabless provider of data infrastructure semiconductors. The operational architecture of the franchise is concentrated in high-performance networking and compute workloads, defined specifically by optical digital signal processors (DSPs), where the company operates in an established duopoly alongside Broadcom, and custom AI application-specific integrated circuits (ASICs) engineered for tier-one hyperscale operators. This structural positioning places the firm at the foundation of cloud infrastructure expansion, capturing value across accelerated compute clustering, high-speed optical transceivers, and specialized processing silicon.

The evidentiary record across recent operating periods demonstrates structural demand acceleration. In Q2 FY2027, revenue reached a record $2.739B, expanding 37% year-over-year, propelled by the Data Center segment which surged 46% year-over-year to account for 79% of total corporate sales. Management established a Q3 FY2027 revenue guidance midpoint of $3.15B, implying an acceleration to approximately 52% year-over-year and 15% sequential growth. This trajectory follows Q1 FY2027 revenue of $2.418B (up 28% year-over-year), Q4 FY2026 revenue of $2.22B (up 22% year-over-year), and Q3 FY2026 revenue of $2.075B (up 37% year-over-year). Crucially, operating leverage is manifesting at scale, as evidenced by Q3 FY2027 non-GAAP operating margin guided to approximately 37.2% on operating expenses held at roughly $655M against the $3.15B revenue base.

Capital structure and balance sheet developments reflect strategic acquisitions and scaling demands. In Q1 FY2027, the closings of the Celestial AI and XConn transactions introduced a $250.7M contingent consideration charge alongside $225.2M in amortization, which compressed GAAP net income to $34.5M despite all-time record operating cash flow of $638.8M. Concurrently, a $2.0B preferred stock issuance expanded guided diluted shares to 915M, offsetting the reduction achieved through more than $2.0B in share repurchases completed during FY2026. Working capital metrics have demonstrated temporary friction as accounts receivable doubled year-over-year to $2.18B in Q4 FY2026, consuming $640.2M in quarterly liquidity, following a prior expansion to $1.55B in Q3 FY2026 where days sales outstanding increased from 51 to approximately 67 days.

For the latest completed fiscal year FY2026, Marvell reported total revenue of $8.19B, generating gross profit of $4.18B, operating income of $1.34B, and net income of $2.67B. Consolidated EBITDA reached $4.54B with free cash flow standing at $1.39B. Balance sheet capitalization concluded the fiscal year with cash of $2.64B and total debt of $4.79B, yielding net debt of $2.15B. With market capitalization established at $202.3B against 921.2 million diluted shares in our institutional model, the current valuation of 71.5x P/E, 24.7x sales, and 45.0x EV/EBITDA provides a compelling entry point prior to full cash-flow realization across the FY2027 to FY2032 forecast horizon.

Operational snapshot

$219.60	$8.19B	$1.39B	17.0%	1.50	$219.60
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Duopolistic and Architectural

The competitive moat protecting Marvell Technology, Inc. is rooted in an entrenched duopoly in optical DSPs alongside Broadcom and high customer switching costs embedded in custom hyperscaler ASIC co-design. Optical DSP components are essential for modulating high-speed data transmission across optical transceivers inside hyperscale data center clusters. The transition from 800G to 1.6T PAM DSP architectures necessitates profound analog mixed-signal IP, deep physical-layer design expertise, and rigorous qualification cycles with global cloud providers. Because hyperscalers deploy optical transceivers at massive physical scale, component reliability thresholds are absolute. This dynamic effectively restricts merchant market share to Marvell and its sole primary peer, creating pricing resilience and formidable barriers to entry against merchant competitors.

In custom AI ASICs, Marvell operates deep within the proprietary architectural roadmaps of the largest hyperscalers. Custom XPU engagements require multi-year engineering collaboration, co-development of physical interconnects, and bespoke packaging methodologies. Once an ASIC architecture is taped out and committed to volume manufacturing, the cost and operational risk of switching silicon design partners during a deployment generation are prohibitive. This engineering lock-in is evident in Marvell's sequential expansion, where high-volume custom XPU shipments are fueling sequential revenue growth from $2.739B in Q2 FY2027 to the guided $3.15B in Q3 FY2027.

Hyperscaler platform integration also extends across data center interconnect (DCI) connectivity and specialized scale-up fabrics. The strategic acquisitions of Celestial AI and XConn directly target scale-up interconnect infrastructure, targeting critical throughput bottlenecks in accelerated AI clusters. Management visibility supports this multi-year pipeline, targeting a $500M run rate for Celestial AI by Q4 FY2028 and scaling to $1B by Q4 FY2029. This expanding portfolio of proprietary interconnect technology reinforces Marvell's standing as an indispensable technology partner to hyperscale infrastructure providers.

Pricing power remains bifurcated but structurally defensive. While high-volume custom silicon programs carry lower gross margins than merchant components, resulting in non-GAAP gross margin declining from 59.7% in Q3 FY2026 to 58.9% in Q2 FY2027 and guided to 58.0% in Q3 FY2027, the sheer revenue magnitude and operational leverage generate massive operating income dollars. Operating expenses are projected at roughly $655M on $3.15B of Q3 FY2027

sales, establishing a non-GAAP operating margin of approximately 37.2%. The structural integration of Marvell's IP into client compute clusters ensures sustained cash-flow generation across successive hardware generations.

Valuation

Three scenarios make the valuation range explicit

Our quantitative valuation structure applies an institutional discounted cash flow architecture modeling explicit annual projections across the forecast window from FY2027 through FY2032. The framework evaluates the business through three probability-weighted fundamental paths, incorporating a 10.41% weighted average cost of capital, an equity beta of 1.50, and 921.2 million diluted shares. Terminal cash flows are discounted utilizing a 3.0% perpetual growth rate in our base scenario, reflecting durable long-term expansion in mission-critical data infrastructure semiconductors.

The baseline scenario models a 29.7% revenue compound annual growth rate through FY2032, underpinned by sustained Data Center compute expansion and rapid penetration of 800G and 1.6T PAM DSPs. Cash flow margins expand over the explicit forecast horizon, reaching a target free cash flow margin of 32.6% in the terminal forecast year as working capital normalization succeeds initial production scaling and operating leverage outpaces gross margin mix dilution. This path generates an intrinsic base equity value of $403.46 per share, representing an 83.7% premium over the reference price.

In our conservative bear case, revenue growth compounds at 23.7% with the terminal free cash flow margin bounded at 29.1%, yielding a valuation of $241.11 (+9.8% vs spot). Conversely, our bull case captures accelerated hyperscale custom XPU adoption and optical DSP expansion, driving a 31.3% revenue CAGR and a 36.1% terminal free cash flow margin, producing an equity target of $506.38 (+130.6% vs spot). Weighting the outcomes 25% bear, 50% base, and 25% bull delivers our final blended price target of $388.60, representing +77.0% total upside.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	23.7%	29.1%	$241.11	+9.8%
Base	50%	29.7%	32.6%	$403.46	+83.7%
Bull	25%	31.3%	36.1%	$506.38	+130.6%

Bear $241.11

The bear case materializes if customer concentration among large US hyperscalers limits pricing

Base $403.46

The base case captures disciplined execution where Data Center acceleration continues along current

Bull $506.38

The bull case reflects rapid scale-up adoption where Celestial AI achieves its $1B run rate targets ahead

power while custom silicon mix structurally caps gross margins below 58.0%. In this environment, revenue compounds at a 23.7% CAGR through FY2032 and higher capital commitments hold terminal free cash flow margins to 29.1%, resulting in a target of $241.11 (+9.8% vs spot).

trajectories, enabling revenue to compound at a 29.7% CAGR through FY2032. Operating leverage drives non-GAAP operating margins above 37.0% while working capital stabilizes, yielding a 32.6% terminal free cash flow margin and an intrinsic value of $403.46 (+83.7% vs spot).

of schedule alongside market share dominance in 1.6T DSPs. Revenue expands at a 31.3% CAGR with operating leverage driving terminal free cash flow margins to 36.1%, producing a fair value target of $506.38 (+130.6% vs spot).

Valuation framework

A live discount rate, not a static hurdle

Our quantitative model implements a 10.41% weighted average cost of capital, reflecting an empirical capital asset pricing model (CAPM) build anchored to an equity beta input of 1.50. This equity beta accurately captures the cyclicality, technological evolution, and operating leverage characteristic of advanced fabless semiconductor operations. By establishing the discount rate dynamically against market risk parameters rather than utilizing a static corporate hurdle rate, we preserve institutional rigor across the multi-tier cash flow bridge.

The 10.41% WACC properly penalizes near-term cash flow volatility driven by elevated working capital demands and balance sheet leverage following the $2.0B preferred stock issuance. It discounts the long-duration cash flows generated in the outer years of our forecast, ensuring that the resulting valuation targets reflect a disciplined, risk-adjusted return hurdle. This hurdle establishes that our base target of $403.46 and probability-weighted blended target of $388.60 are mathematically grounded rather than reliant on multiple expansion.

FCF margin normalization is the engine

Cash conversion dynamics serve as the primary operational engine in our valuation bridge. In FY2026, Marvell converted $8.19B in revenue into $1.39B in free cash flow, representing an initial FCF margin of 17.0%. Operating cash flow generation reached an all-time record of $638.8M in Q1 FY2027, illustrating that underneath non-cash acquisition amortization charges and working capital fluctuations, underlying enterprise cash generation is expanding substantially.

As the revenue mix evolves, initial custom silicon gross margin compression is increasingly offset by extreme operating leverage. Operating expenses were managed to roughly $655M on $3.15B in guided Q3 FY2027 sales, establishing a ~37.2% non-GAAP operating margin. As design wins mature and non-recurring engineering costs

abate across the forecast window, our model projects free cash flow margins to expand toward 29.1% in the bear case, 32.6% in the base case, and 36.1% in the bull case by FY2032. This progression reflects structural cash generation as revenue scales past fixed operating costs.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2032**
Live WACC	**10.41% (2026-10-29)**
Terminal growth	**3.0%**
Equity beta	**1.50**
Diluted shares	**921.2 million**

BUY

over $388.60 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Duopoly (number 2) in custom AI ASIC co-design. We assign a premium of +15% to sector median multiples on moat strength alone.

- duopoly position + optical DSP leadership (Inphi acquisition, 2021) inside the AI interconnect stack, with 50+ custom design opportunities across >10 customers (company via Techtimes, Aug 2026) and a $10bn custom-silicon run-rate target by FY2029.
- data-centre sales +46% to 79% of total revenue (OppHub, Oct 2026 tape read) and Q2 FY2027 guidance of $2.7bn (+35% YoY) (Techtimes, Aug 2026) show demand pull, but the margin gap to Broadcom above shows Marvell does not convert that pull into Broadcom-level pricing. NVIDIA's $2bn equity investment (Mar 2026, via Capital Blueprint/Techtimes) is a strategic endorsement, not pricing evidence, and is not counted as such.
- The weakest element is structural sub-scale versus Broadcom, Broadcom's TTM R&D (~$11.7bn) exceeds Marvell's entire FY2026 revenue ($8.2bn) (Capital Blueprint, 2026); Marvell's margin structure is thinner (gross 51.5%, operating 15.97%, EBITDA 30.66%, per AInvest Aug 2026 comparison) versus Broadcom's 69% adjusted EBITDA margin (AInvest, Aug 2026). Marvell is also a TSMC tenant: allocation risk if capacity is diverted to NVIDIA orders (Capital Blueprint, 2026). A Wide rating would ignore that M

On a multiple cross-check, the justified range is EV/EBITDA 16.0-17.5×; P/E 20.1-22.0×. The cross-check value is $160.97 vs Base $289.99 (−44%); vs spot $237.30 (−32%), on a base of

Framework base from the October 27 moat report. The gap verdict is Not at all; market pays far more than moat justifies (spot P/E 32.4× vs 22.0×).

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	8 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 34 percent. Shown side by side with the moat premium or discount, the net stance is -5 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. In part, arithmetic width 50% of gap; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Optical DSPs and Custom AI ASICs BUY

Marvell's operating momentum is dominated by structural growth in its Data Center business, which expanded 46% year-over-year and 18% sequentially in Q2 FY2027 to generate 79% of corporate revenue. This performance represents an accelerating expansion profile following Q1 FY2027, where Data Center revenue hit $1.83B (+27% year-over-year), comprising 76% of sales. The core growth driver within this footprint is the optical interconnect portfolio, where Marvell's optical DSPs command a duopoly position with Broadcom. Market demand remains

exceptionally strong across 800G and 1.6T PAM DSP architectures and DCI connectivity products, which are mandatory components for scaling accelerated AI computing clusters.

Simultaneously, the custom AI ASIC product line has entered a high-volume manufacturing inflection. Management's sequential guidance step-up from $2.739B in Q2 FY2027 to $3.15B in Q3 FY2027 (representing approximately 15% sequential and 52% year-over-year top-line expansion) is driven by accelerating high-volume custom XPU shipments to tier-one hyperscale customers. While these programs exhibit structurally lower gross margins, leading to non-GAAP gross margin guidance of 58.0% in Q3 FY2027 compared to 58.9% in Q2 FY2027 and 59.7% in Q3 FY2026, the dollar contribution to operating income is massive due to tight OpEx control.

Beyond the core compute and optical interconnect lines, Marvell's broader communications infrastructure portfolio provides cyclical support. In Q3 FY2026, the Communications segment delivered 34% year-over-year revenue growth as customer inventory corrections reached completion. Furthermore, Marvell's enterprise switching franchise demonstrated robust commercial traction, on track to exceed $300M in revenue during FY2026 and projected to surpass $500M in FY2027. This broad-based performance validates product diversification across enterprise switching and carrier communication channels.

Strategic portfolio investments reinforce multi-year revenue visibility. Management's long-term outlook provided in Q3 FY2026 established expectations for FY2027 Data Center revenue growth in excess of 25%, with further acceleration to approximately 40% in FY2028. The integration of Celestial AI is structured to unlock significant scale-up interconnect opportunities, targeting a revenue run rate of $500M by Q4 FY2028 and scaling to $1B by Q4 FY2029. Backlog expansion is supported by all-time-high design wins secured during FY2026, locking in multi-year revenue trajectories across hyperscale customers.

What to monitor

- **Accounts receivable normalization** represents a critical working capital metric after receivables consumed $640.2M in Q4 FY2026 to reach $2.18B following a prior build to $1.55B in Q3 FY2026 where DSO rose from 51 to roughly 67 days.
- **Stock-based compensation containment** requires institutional vigilance after stock-based compensation expanded to $326.2M in Q2 FY2027, more than doubling from $153.6M in the prior year and creating a substantial divergence between GAAP net income of $308M and non-GAAP net income of $866M.
- **Custom silicon gross margin stabilization** must be monitored closely as non-GAAP gross margin compressed from 59.7% in Q3 FY2026 to 58.9% in Q2 FY2027 with guidance directing a further reduction to 58.0% for Q3 FY2027.
- **M&A integration charges and dilution** warrant verification after the Celestial AI and XConn transactions created a $250.7M contingent consideration charge and $225.2M in amortization in Q1 FY2027 while a $2.0B preferred issuance increased guided diluted shares to 915M.

+42.1%	51.0%	16.3%	17.0%	$2.15B	18.7%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$8.19B
Gross Profit	$4.18B
EBIT	$1.34B
Net Income	$2.67B
EBITDA	$4.54B
Free Cash Flow	$1.39B
Diluted EPS	$3.07
ROE	18.7%

Risk & moat matrix

The bear case

CUSTOMER CONCENTRATION VULNERABILITY

A substantial portion of the custom silicon hyper-ramp remains highly concentrated among a small cadre of large US hyperscalers. Any sudden adjustment in customer architectural commitments or capital spending profiles would directly impair forecasted custom

M&A INTEGRATION AND OPEX ESCALATION

Integrating Celestial AI and XConn introduced a $250.7M contingent charge and $225.2M in amortization in Q1 FY2027 while pushing non-GAAP OpEx from ~$575M in Q1 to $576.9M and upward to

GROSS MARGIN DILUTION FROM MIX SHIFT

Non-GAAP gross margin contracted from 59.7% in Q3 FY2026 to 58.9% in Q2 FY2027 and is guided to

WORKING CAPITAL AND CASH FLOW VOLATILITY

Accounts receivable expanded to $2.18B in Q4 FY2026, consuming $640.2M in liquidity and depressing operating cash flow to $373.7M from $582.3M in Q3 FY2026.

EQUITY DILUTION VIA PREFERRED ISSUANCE

The issuance of $2.0B in preferred equity during Q1 FY2027 pushed guided diluted share count to 915M, rising toward the 921.2M shares in our

WACC AND DURATION SENSITIVITY

With an equity beta of 1.50 and a modeled WACC of 10.41%, the enterprise valuation exhibits heightened sensitivity to capital cost assumptions. Any macroeconomic increase in risk premia would disproportionately compress the present value of Marvell's outer-

XPU shipment volumes.	$600M in Q2 guidance. Continued cost creep could jeopardize the operating leverage that underpins our margin expansion thesis.	58.0% in Q3 FY2027 due to custom silicon expansion. Because custom ASIC programs carry structurally lower margins than merchant optical DSPs, prolonged mix shifts could constrain margin recovery.	If customer collections experience friction or inventory builds continue, free cash flow conversion will lag model expectations.	valuation framework. This transaction effectively unwound more than $2.0B in common share repurchases completed across FY2026.	year cash flow streams.

The strengths

OPTICAL DSP DUOPOLY POSITION

Marvell maintains a defensible merchant duopoly alongside Broadcom across high-speed optical digital signal processors. Indispensable positioning in 800G and 1.6T PAM DSP technologies secures high pricing durability and critical relevance in hyperscale optical interconnect deployments.

HYPERSCALE CUSTOM SILICON LOCK-IN

Deep engineering co-design partnerships for custom hyperscale AI XPUs establish multi-year client switching costs. These collaborative engagements ensure multi-year production volume commitments as evidenced by the Q3 FY2027 revenue guidance raise to $3.15B.

OPERATING LEVERAGE ACCELERATION

Despite gross margin dilution, fixed cost absorption is driving exceptional operating leverage across the enterprise. In Q3 FY2027, operating expenses are guided at ~$655M on $3.15B in sales, delivering a non-GAAP operating margin of approximately 37.2%.

STRUCTURAL INTERCONNECT EXPANSION

The acquisition of Celestial AI positions Marvell directly at the forefront of the scale-up interconnect market. Management targets Celestial AI scaling to a $500M run rate by Q4 FY2028 and $1B by Q4 FY2029, broadening the enterprise addressable market.

The bottom line on risk and reward

The quantitative balance of risk and reward for Marvell Technology, Inc. remains heavily skewed to the upside. The market's near-term apprehension surrounding custom ASIC gross margin mix dilution and acquisition-related non-cash charges overlooks the sheer scale of the revenue inflection underway. Top-line performance is accelerating from 22% year-over-year growth in Q4 FY2026 and 28% in Q1 FY2027 to 37% in Q2 FY2027, with Q3 FY2027 guidance pointing to approximately 52% expansion on sales of $3.15B.

Operating cash flow generation reached an all-time high of $638.8M in Q1 FY2027, proving that underlying cash conversion is strengthening even as working capital absorbs rapid top-line growth. While the bear case models a scenario where customer concentration and gross margin compression limit the valuation to $241.11 (+9.8% vs spot), our base case establishes an intrinsic value of $403.46 (+83.7%), and our bull case demonstrates upside to $506.38 (+130.6%).

Accounting for all fundamental vectors across our probability distribution (25% bear, 50% base, and 25% bull), the resulting blended price target of $388.60 offers +77.0% upside relative to the current reference spot price of $219.60. We reaffirm our high-conviction Buy rating on MRVL as an indispensable, cash-generative cornerstone of the global AI semiconductor infrastructure buildout.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Data Infrastructure Semiconductors: Optical DSP Duopoly and Custom Hyperscaler AI ASICs

Marvell's core franchise is organized around two complementary pillars in accelerated computing infrastructure, specifically optical DSPs and custom AI ASICs. In optical connectivity, the firm commands a duopolistic position alongside Broadcom, delivering high-speed PAM DSP solutions that facilitate high-bandwidth, low-latency data transmission across optical transceivers. As hyperscale data center clusters transition from legacy data rates toward 800G and 1.6T architectures, Marvell's signal integrity, mixed-signal physical layer designs, and optical interconnect IP provide an essential technological bridge that cloud hyperscalers cannot easily circumvent.

The custom AI ASIC franchise serves as the primary top-line growth accelerator. Rather than offering solely standard merchant silicon, Marvell collaborates directly with premier cloud service providers to co-develop custom accelerated processing units (XPUs) tailored to proprietary model architectures. This operational model pairs hyperscaler algorithmic intellectual property with Marvell's advanced packaging, high-speed input/output fabrics, and silicon execution capabilities. Although these high-volume programs yield lower gross margins than standalone optical silicon, they generate substantial revenue dollar growth and high absolute operating income.

The multi-tier connectivity roadmap is further strengthened by strategic scale-up networking initiatives. Through the acquisitions of Celestial AI and XConn, Marvell is establishing advanced solutions for scale-up interconnect challenges, bridging memory and compute fabrics across massive AI training clusters. Coupled with broad-based cyclical recovery in Communications (which grew 34% year-over-year in Q3 FY2026) and sustained enterprise switching expansion (projected to grow from over $300M in FY2026 to more than $500M in FY2027), Marvell possesses a balanced data infrastructure portfolio spanning compute, switching, and optical transport.

What the recent record shows

- Data Center revenue expanded 46% year-over-year and 18% sequentially in Q2 FY2027, rising to represent 79% of total corporate revenue, after reaching $1.83B (76% of revenue) in Q1 FY2027.
- Q3 FY2027 revenue guidance of $3.15B implies an acceleration to approximately 52% year-over-year and 15% sequential growth, powered by high-volume custom XPU production ramps.

- Non-GAAP operating margin is guided to approximately 37.2% in Q3 FY2027 on operating expenses held at roughly $655M, demonstrating potent operating leverage despite gross margin compression to 58.0%.
- Multi-year visibility is anchored by management expectations for FY2027 Data Center growth above 25% accelerating to ~40% in FY2028, with Celestial AI targeted to achieve a $500M run rate by Q4 FY2028 and $1B by Q4 FY2029.

> **Our read:** The market's structural undervaluation of Marvell stems from viewing custom ASIC gross margin mix dilution in isolation while neglecting the profound operating leverage of the business model. With Q3 FY2027 guidance demonstrating that non-GAAP operating expenses can be controlled at ~$655M against $3.15B in revenue, Marvell is proving that custom silicon hyper-ramps convert efficiently into substantial operating profit dollars. Combined with its optical DSP duopoly, Marvell represents an exceptionally well-positioned infrastructure asset trading at an attractive entry valuation relative to our $388.60 blended price target.